

Scoring Methodology

How every SME is turned into a single, transparent Funding Readiness Score from 0 to 100 — and then sorted into the High, Mid and Low tiers that drive the recommendations.

Prepared by Ndivhuwo Input Capital_Matching_Cleaned_Data.xlsx (1,116 businesses)

Output Funding_Readiness_Segmentation.xlsx (scored · tiered · ranked)

Each business receives a **Funding Readiness Score from 0 to 100**, built from four weighted pillars drawn only from fields the application form already collects. Each pillar is calculated as a value between 0 and 1, multiplied by its weight, and the four results are summed. The design goal is a number that is **objective, explainable, and stable across rounds**.

01 The four pillars

Pillar	Weight	The question it answers	How it is scored
Revenue & Growth	 30	Is this a real, growing business?	60% revenue size (latest band ÷ 6) · 40% year-on-year band movement
Jobs & Scale	 25	Is it trading, and will funding create jobs?	55% current employees · 45% anticipated jobs — both log-scaled, so a count of 50 earns full marks
Funding-Ask Viability	 25	Is the ask sensible, and the form complete?	60% ask-to-revenue ratio (0.5×–5× is the target range) · 40% completeness of ten key fields
Transformation (B-BBEE)	 20	What are the transformation credentials?	50% B-BBEE level · 50% average of the four ownership percentages

HOW A SCORE IS ASSEMBLED

Take a business scoring 0.8 on Revenue & Growth, 0.6 on Jobs & Scale, 0.7 on Viability and 0.9 on Transformation. Its score is $(0.8 \times 30) + (0.6 \times 25) + (0.7 \times 25) + (0.9 \times 20) = 24 + 15 + 17.5 + 18 = 74.5$ — comfortably inside the High tier. Every score in the project is built exactly this way, and a fully worked example is traced cell by cell inside the segmentation notebook.

02 Why the weights are set this way

The 30 / 25 / 25 / 20 split encodes a defensible view of *what funders actually act on*:

- **Revenue & Growth carries the most weight (30)** because trading revenue and its trajectory are the clearest evidence of a genuine, viable business.

- **Jobs & Scale and Funding-Ask Viability follow (25 each)** because a proportionate request from an operating employer is what a funder can actually structure into a deal.
- **Transformation carries the lowest weight (20)** — not because it matters least, but because the pool is already highly transformed (~92% average Black ownership), so it separates one applicant from another less than the other three pillars. It is retained deliberately, because it is a genuine requirement in many funders' mandates.

03 The fairness rule

ONE RULE GOVERNS EVERY PILLAR

A **missing answer is scored as neutral (0.5), never as zero**. No business is penalised for a question the form failed to capture. This carries the cleaning principle (Artifact 1) into the model: recover what can be recovered, and neutralise the rest rather than punishing it.

There are exactly **two deliberate exceptions**, where a blank genuinely means "none" rather than "unknown":

- **Reported revenue of nothing** is read as *pre-revenue*, not as missing data.
- **A blank headcount or anticipated-jobs figure** is read as *no employment recorded*, not neutralised.

The trade-off is honest: a genuinely incomplete application can score similarly to a merely modest one. The **completeness component** inside Funding-Ask Viability and the Low-tier remediation step are what catch this, so incompleteness is surfaced rather than hidden.

04 From score to tier

Fixed score thresholds convert the 0–100 score into three tiers. The cut-offs are fixed on purpose: a tier keeps the same meaning when a future round is scored, so results are comparable over time.

Tier	Score	Definition	Recommended action
HIGH	62–100	Established, credible businesses making appropriately sized requests.	Package and present to investors immediately.
MID	48–61	Genuine operating businesses with specific, addressable gaps.	Develop: readiness support, right-size the ask, re-score.
LOW	0–47	Early-stage businesses, or applications with material information gaps.	Remediate before any introduction: complete the data, recalibrate the ask.

05 Ranking & reproducibility

Beyond its tier, every business is given a **rank where 1 = most ready**. Ties are settled alphabetically, so the same input always produces exactly the same ordered file — a deterministic output a reviewer can re-generate and trust.

06 Modelling caps & assumptions

A few deliberate guards keep extreme or unverifiable values from distorting the result. They are transparent by design and live in one place in the notebook, so they can be re-tuned as the programme learns what converts.

- **Outlier cap:** amounts above R2 billion are treated as capture errors, not real figures.
- **Ratio saturation:** ask-to-revenue scoring flattens beyond the $0.5\times$ – $5\times$ target range, so an extreme ratio can't dominate.
- **Scale flattening:** employee and job scoring is log-scaled and saturates above ~ 50 , so headline headcounts don't crowd out everything else.
- **Banded financials:** 2023/2024 revenue arrives as ranges, so representative midpoints are used — precise enough to rank and tier, though individual ratios are approximate.

WHAT THE SCORE IS — AND ISN'T

The Funding Readiness Score measures **readiness to present** to an investor, built entirely from self-reported data. It is not a measure of creditworthiness, and it does not replace a funder's due diligence — it decides *who to advance first*, which is exactly the decision the SME team needs to make.